

The complaint

Mr D is unhappy that Fairmead Insurance Limited (formerly known as Legal & General Insurance Limited) declined a home insurance claim he made for an escape of water at his property.

What happened

Mr D made a claim to Fairmead about an escape of water underneath his living room floor in December 2018. Fairmead advised Mr D he would only be covered for damage caused by the leak, and not for the damaged pipe. Mr D had the flooring lifted and the pipe repaired himself. Mr D's contractor attributed the damage to corrosion from the concrete onto the pipe. He said the pipe ought to have been covered.

Mr D's contractor lifted the entire living room flooring and some in the adjacent hallway area. Mr D has since replaced the concrete subfloor in the living room and hallway and has replaced his laminate flooring with carpet. He also installed a damp-proof membrane and lagging to all the subfloor pipework to protect it from further corrosion.

Fairmead initially declined Mr D's claim. It said the damage was more likely caused by rising damp – as a result of there being no damp-proof membrane – as opposed to the leaking pipe.

Mr D brought his complaint to our service where it was looked at by one of our investigators. During her investigation, Fairmead agreed to reassess the claim as it accepted that some of the damage would have been caused by the escape of water. Fairmead took measurements from Mr D and reassessed the available photographs of the exposed pipework and damage to the flooring. Based on this, and the repair invoice provided by Mr D, it agreed to cover £390 for the replacement carpet, £120 for the concrete floor in the living room and £140 for the initial trace and access – although trace and access isn't covered by Mr D's policy. Fairmead pointed out that Mr D's policy excess was £600 which meant he would be due a payment of £50.

Our investigator considered that Fairmead's offer, in respect of settling the claim, was fair and reasonable in the circumstances. But she thought Fairmead should pay Mr D £150 compensation for the distress and inconvenience it caused him in incorrectly declining his claim in the first instance.

Mr D didn't agree with our investigator's opinion. So, because no agreement has been reached, the complaint has been passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

While Mr D has highlighted several concerns, my decision focuses only on the issues I consider to be material to the outcome of his complaint. But I have carefully considered the full timeline of events when reaching my decision.

The fact that Mr D has suffered a loss as a result of an insured event is no longer in dispute. The issue that remains for me to decide is whether Fairmead's offer of settlement is in line with the policy terms and whether it is fair and reasonable in all of the circumstances.

Mr D's policy covers him for damage caused by an escape of water. But it doesn't cover him for rising damp.

Fairmead's loss adjuster visited Mr D's property on 14 December 2018 to assess Mr D's claim. At this point the burst pipe work had been exposed, and fixed. Mr D subsequently provided an invoice, from his builder, dated 17 December 2018 which explained that for £1,200, the damaged floor was dug up and refilled, damp proof membrane was installed, and the pipework was properly insulated.

Once Fairmead had accepted that some of the damage would have been caused by the escape of water, and so would be covered by Mr D's policy, it asked Mr D to get an itemised breakdown of the works carried out by the builder, so that it could properly assess its liability. Mr D wasn't able to get any further clarification from his builder. Because of this, Fairmead asked for measurements of the flooring areas from Mr D and used these to help calculate a cash settlement.

Fairmead states that the area of flooring affected by the escape of water is around one tenth the total size of the flooring replaced by the builder. Based on this, it has offered to pay £120 toward the costs Mr D incurred in having the flooring replaced. Fairmead has also agreed to cover the initial £140 Mr D spent in tracing the leak, despite his policy not covering him for trace and access. It says it has done this because the area of flooring dug up during trace and access would also have required replacement due to the damage caused by the escape of water. In addition, Fairmead has also offered £390 toward the carpet Mr D purchased to replace the laminate flooring.

Mr D argues that the area damaged by the escape of water was much more significant than Fairmead says. He's provided photos showing lifting laminate in the living room and tiles in the hallway. Fairmead has considered these, but it argues that the other areas of wetness are far away from the area of damaged pipework, and so aren't likely to have been caused by the escape of water. It has also highlighted that any wetness to the concrete flooring, from the escape of water, would likely have dried out once the leak had been fixed.

Fairmead says that all of the concrete would have needed to have been lifted in order for the damp proof membrane to be fitted – which isn't something covered by the policy. And it has pointed out that the underlay in place at the time of the escape of water was waterproof, so it says it's unlikely the laminate flooring required replacement. But despite this, it offered £390 toward the carpet purchased by Mr D to replace the laminate. Ultimately Fairmead feels the offer it made is fair, particularly as it hasn't been able to obtain any clarification from Mr D's builder on the works completed.

I've thought carefully about all of the evidence and arguments provided. Considering the level of alleged damage to the concrete flooring and the proximity of some areas of damage to the burst pipes, I don't think it's likely that most of the damage was caused by the escape of water. It seems more likely that the lack of damp-proof membrane and rising damp would have caused a lot of the damage, based on the loss adjuster's report and initial builder's invoice. I agree that lifting the entire concrete floor in order to install damp proof membrane would not have been covered by Mr D's policy. I also haven't seen anything to suggest that Mr D's laminate required replacement due to water damage. So, based on the available evidence, I think Fairmead's offer of £260 toward replacement of the concrete floor (which includes the £140 for the initial trace and assess) and £390 toward replacement carpet is fair and reasonable, taking into account the circumstances of this complaint. I don't think Fairmead needs to pay anything more toward settlement of Mr D's claim.

Mr D has argued that if Fairmead hadn't incorrectly declined the claim when it did, they may have been involved in the repairs and so things might've worked out differently.

It's clear that Fairmead's decision to decline the claim, in full, was incorrect considering that there had clearly been an escape of water which would have, at least, contributed to the damage. But even if Fairmead had accepted the claim, and been involved in the repairs, I haven't seen any evidence to suggest that it would have reached a different overall claim decision than the one it has reached now.

That said, Fairmead did incorrectly decline the claim in full. And it was only after Mr D exhausted Fairmead's complaints process, and escalated his concerns to our service, that Fairmead decided to reassess the claim and accepted that some of the damage would be covered by Mr D's policy. I think this would have been understandably frustrating for Mr D. So, in the circumstances I think Fairmead should pay Mr D £150 compensation to reflect the impact its mistake had on him.

Putting things right

In order to fairly settle Mr D's complaint, Fairmead Insurance Limited must:

- Settle Mr D's claim in line with the offer it has made (£650 less the policy excess)
- Pay Mr D £150 compensation for the distress and inconvenience it has caused him

My final decision

For the reasons I've explained above I uphold Mr D's complaint in part. Fairmead Insurance Limited must put things right in the way I've set out above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr D to accept or reject my decision before 11 September 2020.

Adam Golding
Ombudsman